



REPUBLIC OF THE PHILIPPINES
DEPARTMENT OF BUDGET AND MANAGEMENT
GENERAL SOLANO STREET, SAN MIGUEL, MANILA

LOCAL BUDGET CIRCULAR

No. 172
July 16, 2026

TO : All Provincial Governors, City and Municipal Mayors, *Barangay* Chairpersons, Provincial/City/Municipal/*Barangay Sanggunian* Members, Provincial/City/ Municipal Treasurers, Budget Officers, Human Resource Management Officers, and Other Officials Concerned

SUBJECT : Implementation of the Third Tranche of the Updated Salary Schedule for Local Government Personnel Pursuant to Executive Order (EO) No. 64, s. 2024¹

1.0 Background

- 1.1 EO No. 64, s. 2024 was issued to update the Salary Schedule for the Civilian Government Personnel to ensure a competitive, effective, and sustainable Compensation and Position Classification System (CPCS).

The local government units (LGUs) will implement the updated Salary Schedule in four (4) tranches, provided that the implementation period shall **not** be less than four (4) years, depending on their financial capabilities.

- 1.2 Under Section 4 of EO No. 64, the updated Salary Schedule for civilian government personnel may be granted to the personnel of the LGUs, subject to the following:
- (a) Authorization from their respective *sanggunian*, as provided under Sections 447 (a), 458 (a), and 468 (a) of Republic Act (RA) No. 7160 or the "*Local Government Code of 1991*," as amended; and
 - (b) Compliance with the Personnel Services (PS) limitation in LGU budgets under Sections 325 and 331 of RA No. 7160.

¹ Updating the Salary Schedule for Civilian Government Personnel and Authorizing the Grant of Additional Allowance, and for Other Purposes (dated August 2, 2024)

It is further provided that the rates of pay in the LGUs, which shall be determined on the basis of each LGU's income class and financial capability, shall be at the following percentages of the rates in the Salary Schedule under Section 3 of EO No. 64, as modified, to reflect the revised LGU income classification pursuant to RA No. 11964 or the "*Automatic Income Classification of Local Government Units Act*" and its Implementing Rules and Regulations (IRR):

Percentage of the Salary Schedule		
	For Provinces/Cities	For Municipalities
Special Cities	100%	
1 st Class	100%	90%
2 nd Class	95%	85%
3 rd Class	90%	80%
4 th Class	85%	75%
5 th Class	80%	70%

- 1.3 Section 4 of EO No. 64 further states that the LGUs may fully adopt the Salary Schedule in Section 3 thereof, notwithstanding the above ceilings, subject to compliance with the PS limitation and budgetary authorization requirements of RA No. 7160, as well as the guidelines to be issued by the DBM pursuant to Section 7 (d) of RA No. 11964 and its IRR, *Provided*, That the salary schedule adopted is uniformly applied to all positions in said LGU.

2.0 Purpose

This Circular is issued to provide the guidelines, rules, and regulations for the implementation of the **Third Tranche** of the updated Salary Schedule for civilian personnel as stipulated under EO No. 64, s. 2024.

3.0 Coverage

The following are covered by this Circular:

- 3.1 All positions for salaried LGU personnel, whether regular, contractual, or casual in nature, elective or appointive, full-time or part-time, now existing or hereafter created in the LGUs; and
- 3.2 All positions for *barangay* personnel which are paid monthly honoraria.

4.0 Exclusions

Excluded from the coverage of this Circular are those engaged without employer-employee relationship and funded from non-PS appropriations/budgets, as follows:

- 4.1 Consultants and experts engaged for a limited period to perform specific activities or services with expected outputs;

- 4.2 Laborers engaged through job contracts (*pakyaw*) and those paid on piecework basis;
- 4.3 Student workers and apprentices; and
- 4.4 Individuals whose services are engaged through job orders, contracts of service, or others situated similarly.

5.0 Implementation of the Third Tranche of the Updated Salary Schedule in LGUs

The implementation of the **Third Tranche** of the updated Salary Schedule in the LGUs shall be subject to the authorization from their respective *Sanggunian*, as provided under Sections 447 (a), 458 (a), and 468 (a) of RA No. 7160, and the following conditions and considerations:

- 5.1 The new salary rates shall be in accordance with the **Third Tranche** Monthly Salary Schedule for Local Government Personnel, as presented in **Annexes A-1 to A-7**.

The *Sanggunian* may adopt any of the following options:

- 5.1.1 Fully adopt the Salary Schedule in Section 3 of EO No. 64 (**Annex A-1 of this Circular**), notwithstanding the ceilings provided under Section 4 thereof, subject to compliance with the PS limitation and budgetary authorization requirements of RA No. 7160.
- 5.1.2 Fully adopt the Salary Schedule (**Annexes A-2 to A-7**) corresponding to the LGU's current income classification, per Department of Finance's Department Order No. 074.2024², which provides the Schedule of the First General Income Reclassification of Provinces, Cities, and Municipalities in accordance with RA No. 11964, that took effect on January 1, 2025.
- 5.1.3 If funds are insufficient to fully implement the Salary Schedule under **Annex A-1** of this Circular, or follow the schedule for the LGU level and income class, or for purposes of complying with the PS limitation, the *Sanggunian* may:
 - (a) Fully adopt a Salary Schedule lower than **Annex A-1**; or
 - (b) Formulate lower rates by applying a uniform percentage to the Salary Schedule corresponding

² Schedule of Income Classification for the First General Income Reclassification of Provinces, Cities, and Municipalities Based on the Income Ranges Under Republic Act No. 11964 (dated November 5, 2024)

to the LGU's current income classification across all positions.

- 5.2 In the formulation of such salary schedule, the LGUs shall ensure that they can fund on a sustainable basis the increased salaries, bonuses, and incentives, including the government counterparts to the Retirement and Life Insurance Premiums, Pag-IBIG Contributions, PhilHealth Contributions, and Employees Compensation Insurance Premiums, taking into account the regular annual income of the LGU and its expenditure and investment programs.
- 5.3 The salaries of the Public Health Workers (PHWs) shall be determined by the *Sanggunian* after considering and balancing the impact of the relevant provisions of EO No. 64, RA No. 7160, and RA No. 7305³ on fiscal discipline, prioritization of expenditures, financial capability, and improvement of service delivery.

The *Sanggunian* may adopt any of the following options:

- 5.3.1 Fully adopt the salary rates authorized for the personnel of Special Cities/First Class Provinces and Cities (**Annex A-1**) for the PHWs of the LGU.
- 5.3.2 If LGU funds are not sufficient, adopt a modified salary schedule for the PHWs by applying the same percentage used in Item 5.1.3 (b) above to the rates in **Annex A-1**.
- 5.4 The implementation of the **Third Tranche** Salary Schedule shall be effective for a period **not** less than one (1) year from the date of the approval of the appropriation ordinance authorizing the supplemental budget or augmentation or on the date fixed therein by the *Sanggunian*, subject to the pertinent provisions of RA No. 7160.

6.0 Rules for Adjusting Salaries

The following rules shall apply in the implementation of the salary adjustment:

- 6.1 The salaries of incumbent personnel shall be adjusted to the rates in the Salary Schedule adopted by the LGU corresponding to the current salary grade allocations and designated steps of their positions, provided that their positions and salary grades are in accordance with: (a) Local Budget Circular (LBC) No. 137⁴, (b) Budget Circular (BC) No. 2021-2⁵, and subsequent amendments thereto.

³ Magna Carta of Public Health Workers (dated March 26, 1992)

⁴ Index of Occupational Services, Position Titles and Salary Grades in the Local Government (IOS-LGU), CY 2021 Edition (dated July 13, 2021)

⁵ Modification of Nurse Positions (dated August 25, 2021)

- 6.2 If the current actual monthly basic salary of an incumbent falls in between steps of the salary grade allocation of the position as a result of demotion or transfer due to the exigency of the service, the salary shall be adjusted to the rate for the higher step in the salary schedule to be adopted by the LGU.
- 6.3 If the current actual monthly basic salary of an incumbent exceeds the rate for the Step 8 of the salary grade allocation of the position as a result of demotion or transfer due to the exigency of service:
- 6.3.1 The salary shall be adjusted to the rate for the Step 8 of the same salary grade in the salary schedule to be adopted by the LGU;
- 6.3.2 The incumbent shall not be entitled to salary increase if the current actual salary exceeds the rate for the Step 8 of the same salary grade in the salary schedule to be adopted by the LGU.
- 6.4 For incumbent personnel whose position titles are not in accordance with the Index under LBC No. 137, BC No. 2021-2, and modifications thereto, the salary adjustments shall be granted after their positions have been properly classified by the DBM Regional Office concerned.
- 6.5 The salary of a new hire shall be the rate corresponding to Step 1 of the salary grade allocation of the position in the Salary Schedule to be adopted.
- 6.6 The salaries/wages of casual/contractual personnel shall be adjusted to the rates corresponding to the Step 1 of the salary grade allocations of their positions in the applicable Salary Schedule in **Annexes A-1 to A-7**, effective not earlier than the date of the implementation of the Updated Salary Schedule by the LGU concerned.
- The adjusted daily wage rates of the casual personnel shall be computed by dividing the monthly salaries by 22 workdays per month.
- 6.7 Compulsory retirees whose services have been extended shall be entitled to salary increase following Items 6.1 to 6.4 of this Circular, whichever is applicable.

However, their retirement benefits, including Terminal Leave Benefits, shall be computed based on their monthly basic salaries as of the day prior to the effective date of their retirement, consistent with existing laws, rules, and regulations.



Annex C contains illustrative examples on how to apply the above salary rules.

7.0 No Diminution in Basic Salaries

There shall be no diminution in the actual basic salaries received by incumbents prior to the implementation of EO No. 64 for purposes of complying with the PS limitation.

8.0 Honoraria Adjustments for Barangay Officials and Employees

- 8.1 The maximum honoraria rates prescribed for *barangay* officials and employees under LBC Nos. 63⁶ and 137 may be adjusted following the salary schedule adopted by the municipality or city where the *barangay* belongs, subject to the PS limitation under Section 331 (b) of RA No. 7160.
- 8.2 If *barangay* funds are not sufficient and sustainable to implement the honoraria rates authorized under Item 8.1, the *Sangguniang Barangay* may adjust the honoraria at lower rates but at a uniform percentage of the rates in Item 8.1 for all *barangay* officials and employees.

9.0 Procedural Guidelines

- 9.1 The Administrative Officer (*Human Resource Management Officer [HRMO]*) shall prepare Notices of Salary Adjustment (NOSAs) for incumbent civilian personnel following the format marked as **Annex B-1** or **Annex B-2**, whichever is applicable, for approval by the Local Chief Executive.

On the other hand, the Administrative Officer (HRMO) is no longer required to prepare NOSAs for the personnel whose current actual monthly salaries exceed the rates corresponding to the Step 8 of the salary grade allocations of their positions in the Salary Schedule adopted by the LGU.

- 9.2 When using digital/electronic signatures for the NOSAs, the LGUs must follow the guidelines for the purpose, as provided under DBM Circular Letter No. 2024-7⁷.
- 9.3 The NOSAs shall be issued to the personnel concerned, copy furnished the Government Service Insurance System (GSIS) if they are members thereof.
- 9.4 The salary/honoraria adjustment under this Circular shall be subject to the usual accounting and auditing rules and regulations, and to appropriate re-adjustment if found not in order. The recipient personnel shall refund any overpayments received.

⁶ Position Classification and Compensation of Barangay Officials and Personnel (dated October 22, 1996)

⁷ Guidelines on the Use of Digital and Electronic Signature for the Notice of Step Increment (NOSI) and Notice of Salary Adjustment (NOSA) (dated February 27, 2024)

10.0 Fund Source

- 10.1 The amounts required to implement the salary, honoraria, and related fixed expenditure adjustments of the LGU personnel shall be sourced exclusively from the LGU funds, subject to the PS limitation in LGU budgets, pursuant to Sections 325 (a) and 331 (b) of RA No. 7160.
- 10.2 Such amounts shall be authorized through an appropriation ordinance to be enacted by the *Sangguniang Panlalawigan/Panlungsod/Bayan/Barangay*.
- 10.3 Changes in the annual budget of the LGUs may be allowed through supplemental budgets under specified circumstances pursuant to Section 321 of the Local Government Code (LGC) and Article 417 of its IRR, as amended by Administrative Order No. 47⁸ or through augmentation pursuant to Section 336 of the LGC and Article 454 of its IRR.

11.0 Responsibilities of LGUs

The LGUs shall be responsible for the implementation of the provisions of this Circular. The responsible officers shall be held liable for any payment of salary/honoraria adjustments not in accordance with the provisions hereof, without prejudice to the refund by employees concerned of any excess or unauthorized payments.

12.0 Resolution of Cases

Cases not covered by the provisions of this Circular shall be referred to the DBM for resolution.

13.0 Effectivity

The LGU may implement the **Third Tranche** of the updated Salary Schedule provided it has already implemented the Second Tranche Salary Schedule under EO No. 64 for a minimum of one (1) year.

Furthermore, the LGU will implement the Third Tranche of the updated Salary Schedule for a period **not** less than one (1) year.

⁸ Amending Article 417 of the Rules and Regulations Implementing the Local Government Code of 1991 Approved and Adopted by Administrative Order No. 270 (1992) (dated April 12, 1993)

Finally, the implementation of the Third Tranche by the LGUs shall be contingent on the authorization from their respective *Sanggunian*, subject to the pertinent provisions of EO No. 64, s. 2024, RA No. 7160, and the applicable provisions of this Circular.

This Circular shall take effect immediately after its publication in the Official Gazette or in a newspaper of general circulation and upon filing with the University of the Philippines Law Center.



KIM ROBERT C. DE LEON
Acting Secretary



ANNEX A-1

Third Tranche Monthly Salary Schedule for Local Government Personnel In Special Cities and First Class Provinces and Cities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	14,634	14,730	14,849	14,968	15,089	15,211	15,333	15,456
2	15,522	15,636	15,752	15,869	15,986	16,103	16,223	16,342
3	16,486	16,610	16,732	16,856	16,982	17,106	17,234	17,360
4	17,506	17,636	17,767	17,898	18,031	18,163	18,298	18,433
5	18,581	18,720	18,858	18,998	19,137	19,280	19,423	19,565
6	19,716	19,862	20,009	20,158	20,307	20,456	20,609	20,761
7	20,914	21,069	21,224	21,382	21,539	21,699	21,859	22,022
8	22,423	22,627	22,832	23,038	23,246	23,456	23,668	23,883
9	24,329	24,523	24,720	24,917	25,117	25,318	25,521	25,725
10	26,917	27,131	27,347	27,565	27,786	28,007	28,230	28,456
11	31,705	31,820	32,109	32,401	32,697	32,998	33,302	33,611
12	33,947	34,069	34,357	34,648	34,943	35,242	35,544	35,850
13	36,125	36,283	36,599	36,919	37,244	37,572	37,904	38,241
14	38,764	39,141	39,523	39,910	40,300	40,696	41,097	41,503
15	42,178	42,594	43,015	43,442	43,874	44,310	44,753	45,202
16	45,694	46,152	46,615	47,084	47,559	48,040	48,528	49,020
17	49,562	50,066	50,576	51,092	51,614	52,144	52,678	53,221
18	53,818	54,371	54,933	55,499	56,075	56,657	57,246	57,842
19	59,153	59,966	60,793	61,632	62,486	63,353	64,236	65,132
20	66,052	66,970	67,904	68,853	69,818	70,772	71,727	72,671
21	73,303	74,337	75,388	76,456	77,542	78,645	79,692	80,831
22	81,796	82,963	84,151	85,356	86,582	87,746	89,011	90,295
23	91,306	92,622	93,962	95,330	96,823	98,341	99,883	101,318
24	102,603	104,209	105,841	107,500	109,185	110,898	112,533	114,301
25	116,643	118,469	120,326	122,212	124,131	126,079	128,061	130,073
26	131,807	133,870	135,968	138,100	140,268	142,469	144,707	146,983
27	148,940	151,273	153,644	155,906	158,353	160,235	162,752	165,310
28	167,129	169,752	172,418	174,797	177,545	180,339	182,660	185,537
29	187,531	190,482	193,480	196,528	199,624	202,005	205,191	208,430
30	210,718	214,038	217,207	220,425	223,691	227,224	230,595	234,240

ANNEX A-2

Third Tranche Monthly Salary Schedule for Local Government Personnel In Second Class Provinces and Cities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	13,902	13,994	14,107	14,220	14,335	14,450	14,566	14,683
2	14,746	14,854	14,964	15,076	15,187	15,298	15,412	15,525
3	15,662	15,780	15,895	16,013	16,133	16,251	16,372	16,492
4	16,631	16,754	16,879	17,003	17,129	17,255	17,383	17,511
5	17,652	17,784	17,915	18,048	18,180	18,316	18,452	18,587
6	18,730	18,869	19,009	19,150	19,292	19,433	19,579	19,723
7	19,868	20,016	20,163	20,313	20,462	20,614	20,766	20,921
8	21,302	21,496	21,690	21,886	22,084	22,283	22,485	22,689
9	23,113	23,297	23,484	23,671	23,861	24,052	24,245	24,439
10	25,571	25,774	25,980	26,187	26,397	26,607	26,819	27,033
11	30,120	30,229	30,504	30,781	31,062	31,348	31,637	31,930
12	32,250	32,366	32,639	32,916	33,196	33,480	33,767	34,058
13	34,319	34,469	34,769	35,073	35,382	35,693	36,009	36,329
14	36,826	37,184	37,547	37,915	38,285	38,661	39,042	39,428
15	40,069	40,464	40,864	41,270	41,680	42,095	42,515	42,942
16	43,409	43,844	44,284	44,730	45,181	45,638	46,102	46,569
17	47,084	47,563	48,047	48,537	49,033	49,537	50,044	50,560
18	51,127	51,652	52,186	52,724	53,271	53,824	54,384	54,950
19	56,195	56,968	57,753	58,550	59,362	60,185	61,024	61,875
20	62,749	63,622	64,509	65,410	66,327	67,233	68,141	69,037
21	69,638	70,620	71,619	72,633	73,665	74,713	75,707	76,789
22	77,706	78,815	79,943	81,088	82,253	83,359	84,560	85,780
23	86,741	87,991	89,264	90,564	91,982	93,424	94,889	96,252
24	97,473	98,999	100,549	102,125	103,726	105,353	106,906	108,586
25	110,811	112,546	114,310	116,101	117,924	119,775	121,658	123,569
26	125,217	127,177	129,170	131,195	133,255	135,346	137,472	139,634
27	141,493	143,709	145,962	148,111	150,435	152,223	154,614	157,045
28	158,773	161,264	163,797	166,057	168,668	171,322	173,527	176,260
29	178,154	180,958	183,806	186,702	189,643	191,905	194,931	198,009
30	200,182	203,336	206,347	209,404	212,506	215,863	219,065	222,528

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ANNEX A-3

Third Tranche Monthly Salary Schedule for Local Government Personnel In Third Class Provinces and Cities, and First Class Municipalities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	13,171	13,257	13,364	13,471	13,580	13,690	13,800	13,910
2	13,970	14,072	14,177	14,282	14,387	14,493	14,601	14,708
3	14,837	14,949	15,059	15,170	15,284	15,395	15,511	15,624
4	15,755	15,872	15,990	16,108	16,228	16,347	16,468	16,590
5	16,723	16,848	16,972	17,098	17,223	17,352	17,481	17,609
6	17,744	17,876	18,008	18,142	18,276	18,410	18,548	18,685
7	18,823	18,962	19,102	19,244	19,385	19,529	19,673	19,820
8	20,181	20,364	20,549	20,734	20,921	21,110	21,301	21,495
9	21,896	22,071	22,248	22,425	22,605	22,786	22,969	23,153
10	24,225	24,418	24,612	24,809	25,007	25,206	25,407	25,610
11	28,535	28,638	28,898	29,161	29,427	29,698	29,972	30,250
12	30,552	30,662	30,921	31,183	31,449	31,718	31,990	32,265
13	32,513	32,655	32,939	33,227	33,520	33,815	34,114	34,417
14	34,888	35,227	35,571	35,919	36,270	36,626	36,987	37,353
15	37,960	38,335	38,714	39,098	39,487	39,879	40,278	40,682
16	41,125	41,537	41,954	42,376	42,803	43,236	43,675	44,118
17	44,606	45,059	45,518	45,983	46,453	46,930	47,410	47,899
18	48,436	48,934	49,440	49,949	50,468	50,991	51,521	52,058
19	53,238	53,969	54,714	55,469	56,237	57,018	57,812	58,619
20	59,447	60,273	61,114	61,968	62,836	63,695	64,554	65,404
21	65,973	66,903	67,849	68,810	69,788	70,781	71,723	72,748
22	73,616	74,667	75,736	76,820	77,924	78,971	80,110	81,266
23	82,175	83,360	84,566	85,797	87,141	88,507	89,895	91,186
24	92,343	93,788	95,257	96,750	98,267	99,808	101,280	102,871
25	104,979	106,622	108,293	109,991	111,718	113,471	115,255	117,066
26	118,626	120,483	122,371	124,290	126,241	128,222	130,236	132,285
27	134,046	136,146	138,280	140,315	142,518	144,212	146,477	148,779
28	150,416	152,777	155,176	157,317	159,791	162,305	164,394	166,983
29	168,778	171,434	174,132	176,875	179,662	181,805	184,672	187,587
30	189,646	192,634	195,486	198,383	201,322	204,502	207,536	210,816

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ANNEX A-4

Third Tranche Monthly Salary Schedule for Local Government Personnel In Fourth Class Provinces and Cities, and Second Class Municipalities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	12,439	12,521	12,622	12,723	12,826	12,929	13,033	13,138
2	13,194	13,291	13,389	13,489	13,588	13,688	13,790	13,891
3	14,013	14,119	14,222	14,328	14,435	14,540	14,649	14,756
4	14,880	14,991	15,102	15,213	15,326	15,439	15,553	15,668
5	15,794	15,912	16,029	16,148	16,266	16,388	16,510	16,630
6	16,759	16,883	17,008	17,134	17,261	17,388	17,518	17,647
7	17,777	17,909	18,040	18,175	18,308	18,444	18,580	18,719
8	19,060	19,233	19,407	19,582	19,759	19,938	20,118	20,301
9	20,680	20,845	21,012	21,179	21,349	21,520	21,693	21,866
10	22,879	23,061	23,245	23,430	23,618	23,806	23,996	24,188
11	26,949	27,047	27,293	27,541	27,792	28,048	28,307	28,569
12	28,855	28,959	29,203	29,451	29,702	29,956	30,212	30,473
13	30,706	30,841	31,109	31,381	31,657	31,936	32,218	32,505
14	32,949	33,270	33,595	33,924	34,255	34,592	34,932	35,278
15	35,851	36,205	36,563	36,926	37,293	37,664	38,040	38,422
16	38,840	39,229	39,623	40,021	40,425	40,834	41,249	41,667
17	42,128	42,556	42,990	43,428	43,872	44,322	44,776	45,238
18	45,745	46,215	46,693	47,174	47,664	48,158	48,659	49,166
19	50,280	50,971	51,674	52,387	53,113	53,850	54,601	55,362
20	56,144	56,925	57,718	58,525	59,345	60,156	60,968	61,770
21	62,308	63,186	64,080	64,988	65,911	66,848	67,738	68,706
22	69,527	70,519	71,528	72,553	73,595	74,584	75,659	76,751
23	77,610	78,729	79,868	81,031	82,300	83,590	84,901	86,120
24	87,213	88,578	89,965	91,375	92,807	94,263	95,653	97,156
25	99,147	100,699	102,277	103,880	105,511	107,167	108,852	110,562
26	112,036	113,790	115,573	117,385	119,228	121,099	123,001	124,936
27	126,599	128,582	130,597	132,520	134,600	136,200	138,339	140,514
28	142,060	144,289	146,555	148,577	150,913	153,288	155,261	157,706
29	159,401	161,910	164,458	167,049	169,680	171,704	174,412	177,166
30	179,110	181,932	184,626	187,361	190,137	193,140	196,006	199,104

ANNEX A-5

Third Tranche Monthly Salary Schedule for Local Government Personnel In Fifth Class Provinces and Cities, and Third Class Municipalities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	11,707	11,784	11,879	11,974	12,071	12,169	12,266	12,365
2	12,418	12,509	12,602	12,695	12,789	12,882	12,978	13,074
3	13,189	13,288	13,386	13,485	13,586	13,685	13,787	13,888
4	14,005	14,109	14,214	14,318	14,425	14,530	14,638	14,746
5	14,865	14,976	15,086	15,198	15,310	15,424	15,538	15,652
6	15,773	15,890	16,007	16,126	16,246	16,365	16,487	16,609
7	16,731	16,855	16,979	17,106	17,231	17,359	17,487	17,618
8	17,938	18,102	18,266	18,430	18,597	18,765	18,934	19,106
9	19,463	19,618	19,776	19,934	20,094	20,254	20,417	20,580
10	21,534	21,705	21,878	22,052	22,229	22,406	22,584	22,765
11	25,364	25,456	25,687	25,921	26,158	26,398	26,642	26,889
12	27,158	27,255	27,486	27,718	27,954	28,194	28,435	28,680
13	28,900	29,026	29,279	29,535	29,795	30,058	30,323	30,593
14	31,011	31,313	31,618	31,928	32,240	32,557	32,878	33,202
15	33,742	34,075	34,412	34,754	35,099	35,448	35,802	36,162
16	36,555	36,922	37,292	37,667	38,047	38,432	38,822	39,216
17	39,650	40,053	40,461	40,874	41,291	41,715	42,142	42,577
18	43,054	43,497	43,946	44,399	44,860	45,326	45,797	46,274
19	47,322	47,973	48,634	49,306	49,989	50,682	51,389	52,106
20	52,842	53,576	54,323	55,082	55,854	56,618	57,382	58,137
21	58,642	59,470	60,310	61,165	62,034	62,916	63,754	64,665
22	65,437	66,370	67,321	68,285	69,266	70,197	71,209	72,236
23	73,045	74,098	75,170	76,264	77,458	78,673	79,906	81,054
24	82,082	83,367	84,673	86,000	87,348	88,718	90,026	91,441
25	93,314	94,775	96,261	97,770	99,305	100,863	102,449	104,058
26	105,446	107,096	108,774	110,480	112,214	113,975	115,766	117,586
27	119,152	121,018	122,915	124,725	126,682	128,188	130,202	132,248
28	133,703	135,802	137,934	139,838	142,036	144,271	146,128	148,430
29	150,025	152,386	154,784	157,222	159,699	161,604	164,153	166,744
30	168,574	171,230	173,766	176,340	178,953	181,779	184,476	187,392



ANNEX A-6

Third Tranche Monthly Salary Schedule for Local Government Personnel In Fourth Class Municipalities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	10,976	11,048	11,137	11,226	11,317	11,408	11,500	11,592
2	11,642	11,727	11,814	11,902	11,990	12,077	12,167	12,257
3	12,365	12,458	12,549	12,642	12,737	12,830	12,926	13,020
4	13,130	13,227	13,325	13,424	13,523	13,622	13,724	13,825
5	13,936	14,040	14,144	14,249	14,353	14,460	14,567	14,674
6	14,787	14,897	15,007	15,119	15,230	15,342	15,457	15,571
7	15,686	15,802	15,918	16,037	16,154	16,274	16,394	16,517
8	16,817	16,970	17,124	17,279	17,435	17,592	17,751	17,912
9	18,247	18,392	18,540	18,688	18,838	18,989	19,141	19,294
10	20,188	20,348	20,510	20,674	20,840	21,005	21,173	21,342
11	23,779	23,865	24,082	24,301	24,523	24,749	24,977	25,208
12	25,460	25,552	25,768	25,986	26,207	26,432	26,658	26,888
13	27,094	27,212	27,449	27,689	27,933	28,179	28,428	28,681
14	29,073	29,356	29,642	29,933	30,225	30,522	30,823	31,127
15	31,634	31,946	32,261	32,582	32,906	33,233	33,565	33,902
16	34,271	34,614	34,961	35,313	35,669	36,030	36,396	36,765
17	37,172	37,550	37,932	38,319	38,711	39,108	39,509	39,916
18	40,364	40,778	41,200	41,624	42,056	42,493	42,935	43,382
19	44,365	44,975	45,595	46,224	46,865	47,515	48,177	48,849
20	49,539	50,228	50,928	51,640	52,364	53,079	53,795	54,503
21	54,977	55,753	56,541	57,342	58,157	58,984	59,769	60,623
22	61,347	62,222	63,113	64,017	64,937	65,810	66,758	67,721
23	68,480	69,467	70,472	71,498	72,617	73,756	74,912	75,989
24	76,952	78,157	79,381	80,625	81,889	83,174	84,400	85,726
25	87,482	88,852	90,245	91,659	93,098	94,559	96,046	97,555
26	98,855	100,403	101,976	103,575	105,201	106,852	108,530	110,237
27	111,705	113,455	115,233	116,930	118,765	120,176	122,064	123,983
28	125,347	127,314	129,314	131,098	133,159	135,254	136,995	139,153
29	140,648	142,862	145,110	147,396	149,718	151,504	153,893	156,323
30	158,039	160,529	162,905	165,319	167,768	170,418	172,946	175,680

ANNEX A-7

Third Tranche Monthly Salary Schedule for Local Government Personnel In Fifth Class Municipalities (In Pesos)

Salary Grade	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
1	10,244	10,311	10,394	10,478	10,562	10,648	10,733	10,819
2	10,865	10,945	11,026	11,108	11,190	11,272	11,356	11,439
3	11,540	11,627	11,712	11,799	11,887	11,974	12,064	12,152
4	12,254	12,345	12,437	12,529	12,622	12,714	12,809	12,903
5	13,007	13,104	13,201	13,299	13,396	13,496	13,596	13,696
6	13,801	13,903	14,006	14,111	14,215	14,319	14,426	14,533
7	14,640	14,748	14,857	14,967	15,077	15,189	15,301	15,415
8	15,696	15,839	15,982	16,127	16,272	16,419	16,568	16,718
9	17,030	17,166	17,304	17,442	17,582	17,723	17,865	18,008
10	18,842	18,992	19,143	19,296	19,450	19,605	19,761	19,919
11	22,194	22,274	22,476	22,681	22,888	23,099	23,311	23,528
12	23,763	23,848	24,050	24,254	24,460	24,669	24,881	25,095
13	25,288	25,398	25,619	25,843	26,071	26,300	26,533	26,769
14	27,135	27,399	27,666	27,937	28,210	28,487	28,768	29,052
15	29,525	29,816	30,111	30,409	30,712	31,017	31,327	31,641
16	31,986	32,306	32,631	32,959	33,291	33,628	33,970	34,314
17	34,693	35,046	35,403	35,764	36,130	36,501	36,875	37,255
18	37,673	38,060	38,453	38,849	39,253	39,660	40,072	40,489
19	41,407	41,976	42,555	43,142	43,740	44,347	44,965	45,592
20	46,236	46,879	47,533	48,197	48,873	49,540	50,209	50,870
21	51,312	52,036	52,772	53,519	54,279	55,052	55,784	56,582
22	57,257	58,074	58,906	59,749	60,607	61,422	62,308	63,207
23	63,914	64,835	65,773	66,731	67,776	68,839	69,918	70,923
24	71,822	72,946	74,089	75,250	76,430	77,629	78,773	80,011
25	81,650	82,928	84,228	85,548	86,892	88,255	89,643	91,051
26	92,265	93,709	95,178	96,670	98,188	99,728	101,295	102,888
27	104,258	105,891	107,551	109,134	110,847	112,165	113,926	115,717
28	116,990	118,826	120,693	122,358	124,282	126,237	127,862	129,876
29	131,272	133,337	135,436	137,570	139,737	141,404	143,634	145,901
30	147,503	149,827	152,045	154,298	156,584	159,057	161,417	163,968

For Regular Positions

Notice of Salary Adjustment

Date: _____

_____:

Pursuant to Local Budget Circular No. ____ dated _____,
implementing Executive Order No. 64 dated August 2, 2024, your salary is hereby
adjusted effective _____, as follows:

- | | |
|---|---------|
| 1. Adjusted monthly basic salary effective __, under
the new Salary Schedule; SG __, Step __ | P _____ |
| 2. Actual monthly basic salary as of _____
SG __, Step __ | P _____ |
| 3. Monthly salary adjustment effective _____ | P _____ |

It is understood that this salary adjustment is subject to the usual accounting and
auditing rules and regulations, and to appropriate re-adjustment and refund if found not
in order.

Very truly yours,

Local Chief Executive

Position Title: _____
Salary Grade: _____
Item No., FY _____ Plantilla of Personnel: _____

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For Casuals/Contractuals

Notice of Salary Adjustment

Date: _____

_____:

Pursuant to Local Budget Circular No. ____ dated _____,
implementing Executive Order No. 64 dated August 2, 2024, your salary/daily wage is
hereby adjusted effective _____, as follows:

- | | |
|--|---------|
| 1. Monthly basic salary/daily wage rate,
under the new Salary Schedule; SG ____ | P _____ |
| 2. Actual monthly basic salary/daily wage rate
as of ____;
SG ____ | P _____ |
| 3. Monthly salary/daily wage adjustment
effective _____ | P _____ |

It is understood that this salary/daily wage adjustment is subject to the usual
accounting and auditing rules and regulations, and to appropriate re-adjustment and
refund if found not in order.

Very truly yours,

Local Chief Executive

Position Title: _____
Salary Grade: _____
Item No., FY _____ Plantilla of Personnel: _____

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Illustrative Examples

I. Salary Schedule

Employee A occupies the position of Licensing Officer III, SG-18 in a 2nd Class Municipality.

Upon implementation of the salary increase, the Municipal Government may adopt any of the following options:

Options	Monthly Salary SG-18, Step 1
a. Annex A-1	₱53,818
b. Salary Schedule corresponding to the income class Annex A-4	₱45,745
c. Salary Schedule lower than <i>Annex A-1</i> - Annex A-2 - Annex A-3	₱51,127 ₱48,436
d. Formulate lower rates of Annex A-4 Example: 95% of Annex A-4	₱43,458

II. Implementation Schedule

Province B implemented the Second Tranche Salary Schedule of EO No. 64, effective September 1, 2025.

The Third Tranche Salary Schedule under the herein Circular may be implemented by the Provincial Government **not earlier than September 1, 2026**.

III. Salary Rules

The incumbent Provincial Governor C in a 3rd Class Province is currently serving her second term of office (2025-2028).

The Provincial Government implemented the Second Tranche Salary Schedule, effective September 1, 2025. Hence, the Third Tranche Salary Schedule shall be implemented by the Provincial Government **not** earlier than September 1, 2026.

Position Title : Provincial Governor
Salary Grade (SG), Step : SG-30, Step 2¹

Salary Adjustment	Period Covered	Monthly Salary
Current Salary (Second Tranche) (Annex A-3 of LBC No. 165)	September 1, 2025 to August 31, 2026	₱185,761 (SG-30, Step 2)
Adjusted Salary (Third Tranche) (Annex A-3 of herein Circular)	Not earlier than September 1, 2026	₱192,634 (SG-30, Step 2)

¹ Entitled to Step Increment Due to Length of Service, pursuant to CSC-DBM Joint Circular No. 1, s. 2016

IV. Salary Rules

Due to the exigency of service, Employee D was reassigned to another Office in a 1st Class Municipality, with a corresponding change in position from Administrative Assistant IV, SG-10 to Administrative Assistant III, SG-9, effective March 1, 2026.

The Municipal Government will be implementing the Third Tranche Salary Schedule, effective September 1, 2026.

➤ **Current Salary** (*Annex A-3 of LBC No. 165*)

In accordance with the principle of non-diminution of pay, Employee D continues to receive a monthly salary of ₱23,027.

➤ **Adjusted Salary** (*Annex A-3 of the herein Circular*)

The present salary of Employee D falls between Step 7 (₱22,969) and Step 8 (₱23,153) of SG-9 of the Third Tranche Salary Schedule under *Annex A-3* hereof.

Effective September 1, 2026, the salary of Employee D shall be adjusted as follows:

Position Title, SG	Salary as of August 31, 2026 (Annex A-3 of LBC No. 165)	Adjusted Salary effective September 1, 2026 (Annex A-3 of herein Circular)
Administrative Assistant III, SG-9	₱23,027	₱23,153 (SG-9, Step 8)

V. Salary of a Public Health Worker

Employee E is employed as a Medical Technologist II, SG-15 in a 3rd Class Municipality.

Subject to the Municipal Government's financial capacity, the *Sangguniang Bayan* may adopt any of the following options for the Third Tranche implementation:

Options	Monthly Salary for SG-15
a) Annex A-1	₱42,178
b) Municipal Government will be adopting 90% of the salary schedule prescribed for its income class (Annex A-5) for non-PHWs 90% of Annex A-1	₱37,960

